

Chapter:07 (Theory of Consumption in Islam)

❁Concept of Consumption in Islam :

In Islamic economics, consumption refers to the rational and ethical use of goods and services to satisfy human needs, subject to the principles of Shariah, with the objective of achieving both material welfare and spiritual success (Falah).

So, Consumption in Islam is not driven by unlimited wants. Instead, it is guided by:

- ❁ Halal income and Halal goods
- ❁ Moderation and balance
- ❁ Social responsibility

❁Principles /objectives of Consumption in Islam:

In Islamic economics, the objectives of consumption go beyond mere satisfaction of wants. Consumption is guided by moral, social, and economic goals aimed at achieving Falah (success in this world and the hereafter).

1.Purpose-oriented :Consumption is not only for physical satisfaction but also for spiritual well-being and gaining the pleasure of Allah.

It is considered an act of worship (Ibadah) when done with the right intention (Niyah).

2.Halal and Haram :Only Halal (lawful) goods and services are permitted.

Consumption of Haram (forbidden) items (alcohol, pork, gambling-related goods) is strictly prohibited.

3.Moderation (Wasatiyyah) :

Islam encourages moderate consumption.

Extravagance (Israf) and wastefulness (Tabdhir) are condemned.

“Eat and drink, but do not waste. Surely, He does not like the wasteful.” (Qur’an 7:31)

4.Ethical and Moral Responsibility :

Consumption should not harm others or society.

Exploitation, deception, and unjust practices are forbidden.

5. Priority of Needs :

Islam recognizes levels of needs:

Daruriyyat (necessities)

Hajiyyat (comforts)

Tahsiniyyat (luxuries)

That means Basic needs should be fulfilled first.

6. Social Welfare Orientation :

Islam promotes sharing wealth through Zakat, Sadaqah, and charity.

Excessive personal consumption while others suffer is discouraged.

7. Accountability :

Muslims are accountable before Allah for how they earn and spend their wealth.

Wealth is a trust (Amanah) from Allah.

🌸 Conventional Consumption Function

In conventional (mainstream) economics, the consumption function describes the relationship between total consumption expenditure (C) and disposable income (Yd). It is primarily based on the Keynesian framework, where consumption is driven by income and propensity to consume.

1. Definition

A consumption function is a functional relationship that shows how households' consumption expenditure varies with disposable income:

$$C = f(Y)$$

Where:

C = Consumption expenditure

Y = Disposable income (income after taxes)

2. Keynesian Consumption Function

Keynes proposed a linear consumption function:

$$C = a + bY$$

Where:

a = Autonomous consumption (consumption even when income is zero)

b = Marginal Propensity to Consume (MPC), the fraction of additional income spent on consumption

Y = Disposable income

Example: If a household receives an extra \$100 and $MPC = 0.8$, they will spend \$80 and save \$20.

1. Disposable Income

Disposable income is the income that remains after paying taxes, which is available for consumption and saving.

☞ That is, the income left after deducting taxes from total income is called disposable income.

2. APC (Average Propensity to Consume)

APC shows what proportion of total income is spent on consumption.

$$APC = C/Y$$

☞ In other words, APC is the average share of disposable income spent on consumption.

➤ In conventional economics, APC is widely used because consumption mainly depends on income.

➤ In the Islamic consumption function, APC has limited relevance since consumption is based on needed consumption and is influenced by ethical and religious factors such as Zakat and Sadaqah.

3. MPC (Marginal Propensity to Consume)

MPC shows how much consumption increases as a result of an additional unit increase in income.

$$MPC =$$

☞ That is, MPC represents the portion of additional income that is spent on

➤ In conventional economics, MPC is a key and constant parameter used in multiplier analysis.

➤ In the Islamic perspective, MPC is not constant because an increase in income may go to Zakat, Sadaqah, savings, or investment rather than consumption.

🌸 Islamic Consumption Function

According to Mannan, consumption does not necessarily depend upon income alone; it depends upon a host of other factors

The Islamic consumption function is expressed as

$$C = f(Y, I, H, V, Z, S),$$

where consumption is determined not only by income but also by moral, social, and religious factors. Such as:

C (Consumption):

Defined as actually needed current consumption expenditure not excessive or wasteful spending. It refers to the minimum consumption required to maintain a decent standard of living, rooted in Qur'anic guidance (Zariyat 51:19).

Y (Income):

Refers to expected desirable income, i.e., income a household expects to earn and receive or give on a continuous basis, differing from conventional disposable or permanent income concepts.

I (Intra-family obligations):

Represents consumption related to responsibilities toward family members, relatives, neighbors, and the wider community, emphasizing social responsibility.

H (Horizontal consumption):

Consumption influenced by the standard of living of one's own social or neighborhood group, encouraging moderation and social harmony.

V (Vertical consumption):

Consumption guided by comparison with income groups below and above, with Islamic teachings encouraging looking toward the less fortunate to avoid arrogance and ingratitude.

Z (Zakat):

An obligatory transfer payment for Muslims with income above the Nisab. Zakat directly affects consumption by reducing disposable resources and promoting redistribution, a factor ignored in conventional economics.

S (Sadaqah):

Voluntary charity given for the sake of Allah, beyond Zakat, which also influences the level and pattern of consumption.

The Islamic consumption function integrates economic behavior with ethical, social, and religious values, aiming at moderation, social justice, and welfare rather than mere utility or profit maximization.

❁Conventional vs Islamic norms of consumption

Aspect	Conventional Norms of Consumption	Islamic Norms of Consumption
Basic Objective	Maximization of individual utility and satisfaction	Attainment of <i>Falah</i> (overall well-being in this world and the hereafter)
View of Human Behavior	Consumer is self-interested and rational	Consumer is morally responsible and accountable to Allah
Nature of Consumption	Based on wants and preferences	Based on <i>needs</i> with moderation
Moral/Ethical Limits	No inherent moral restriction	Governed by Halal–Haram framework
Role of Income	Consumption depends mainly on income	Consumption depends on income plus ethical and social obligations
Extravagance	Encouraged indirectly through luxury and status goods	Discouraged (<i>Israf</i> and <i>Tabzir</i> are prohibited)
Social Responsibility	Largely absent	Strong emphasis on social welfare
Redistribution Mechanism	Voluntary or government-led	Mandatory (Zakat) and voluntary (Sadaqah)
Comparison with Others	Encourages demonstration and status consumption	Encourages moderation and looking at the less fortunate
Savings	Residual after consumption	Balanced with charity and future responsibility
Accountability	No spiritual accountability	Accountability before Allah
Ultimate Outcome	Material satisfaction	Social justice, equity, and moral development

Conventional consumption norms focus on self-centered utility maximization, while Islamic norms emphasize moderation, ethical limits, social responsibility, and spiritual accountability, aiming at balanced individual and societal welfare.